

Buy-to-let Mortgage Market Update



Q1 2024

- In Q1 2024 there were 41,149 new buy-to-let loans advanced in the UK, worth £7.0 billion. This was down 16.7 per cent by number (17.3 per cent by value) compared with the same quarter in the previous year.
- The average gross buy-to-let rental yield for the UK in Q1 2024 was 6.88 per cent, compared with 6.23 per cent in the same quarter in the previous year.
- The average interest rate across all new buy-to-let loans in the UK was 5.40 per cent in Q1 2024. This was 30 basis points lower than in the previous quarter, but 0.76 basis points higher than in the same quarter of 2023.
- Reflecting the movements in interest rates, the average buy-to-let interest cover ratio (ICR) for the UK in Q1 2024 was 191 per cent, up from 180 per cent in Q4 2023, but down from 206 per cent a year previously.
- The number of BTL fixed rate mortgages outstanding in Q1 2024 was 1.38 million, 3.0 per cent up on a year previously. In contrast, the number of variable rate loans outstanding fell by 14.4 per cent to 596,000.
- At the end of Q1 2024 there were 13,570 buy-to-let mortgages in arrears greater than 2.5 per cent of the outstanding balance. This was unchanged from the previous quarter but 93 per cent higher than in the same quarter a year previously.
- There were 600 buy-to-let mortgage possessions taken in Q1 2024, up 39.5 per cent on the same quarter a year previously.

UK Finance

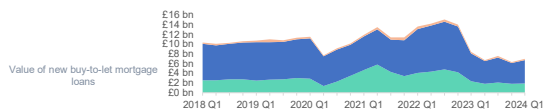
Buy-to-let Mortgage Market Update



UK Finance BTL Mortgage Market Update, 22 July 2024

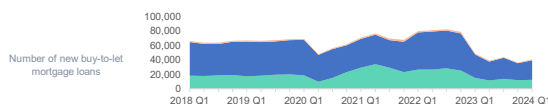
BTL new lending

Value of new BTL lending (UK)



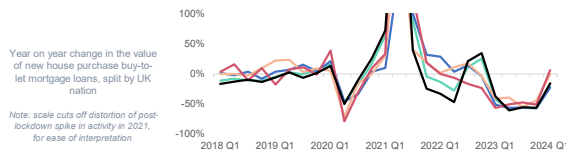
	Latest 2024 Q1	YoY % change
House purchase	£1.9bn	-18.6%
Remortgage	£4.8bn	-16.7%
Other	£0.2bn	-18.1%
Total	£7.0bn	-17.3%

Number of new BTL loans (UK)



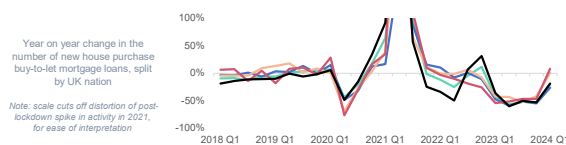
	Latest 2024 Q1	YoY % change
House purchase	12,422	-17.7%
Remortgage	27,372	-16.9%
Other	1,354	-1.0%
Total	41,149	-16.7%

Value of new house purchase BTL lending (UK Nations and London)



	Latest 2024 Q1	YoY % change
England	£1,747mn	-20.2%
Wales	£47mn	-22.8%
Scotland	£94mn	-0.5%
Northern Ireland	£23mn	6.8%
London	£487mn	-15.8%

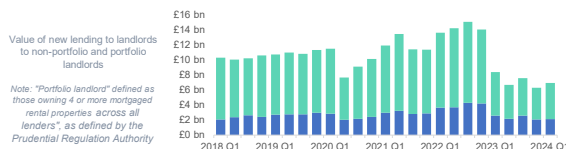
Number of new house purchase BTL loans (UK Nations and London)



	Latest 2024 Q1	YoY % change
England	10,657	-19.9%
Wales	430	-26.3%
Scotland	950	0.2%
Northern Ireland	298	8.2%
London	1,509	-19.2%

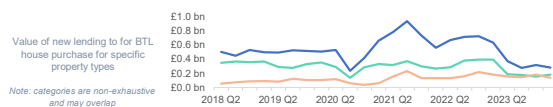
Mortgage characteristics for new lending

Value of total new BTL lending by portfolio size for all loans



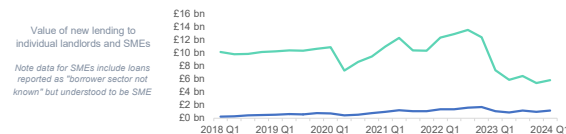
	Latest 2024 Q1	YoY % change
1-3 mortgages (non-portfolio landlord)	£4.8bn	-16.9%
>=4 mortgages (portfolio landlord)	£2.1bn	-18.2%

Value of new house purchase BTL lending for specific property types



	Latest 2024 Q1	YoY % change
New Build	£146mn	-22.8%
Purpose-built flat	£338mn	-9.6%
Houses for Multiple Occupation (HMOs)	£115mn	-26.8%

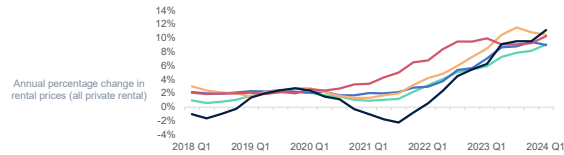
Value of new BTL lending for individual landlords and SMEs



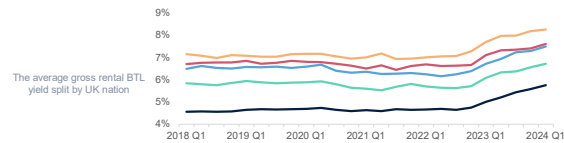
	Latest 2024 Q1	YoY % change
Individual landlords	£5820mn	-20.9%
SMEs (Ltd Co BTL)	£1149mn	7.4%

BTL profitability

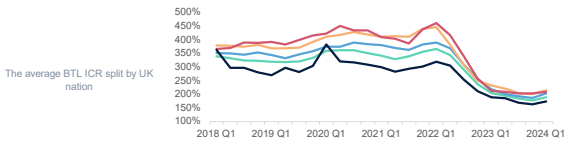
Private rents (ONS)



BTL rental yield

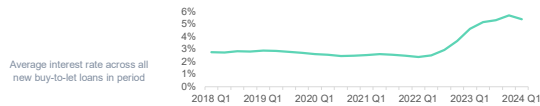


BTL interest cover ratio (ICR)



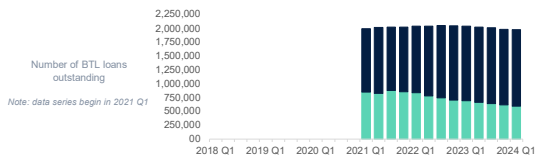
BTL Interest Rate

BTL Interest rate (mean)



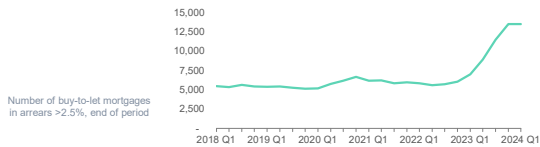
BTL mortgage stock

Number of BTL loans by rate type



BTL arrears and possessions

BTL arrears



BTL possessions



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Next update: 22 October 2024

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Notes:

1. Data series are shown for the last two years where available, or as far back as data exist otherwise.
2. Complete time series for each of these data series are available to UK Finance members that provide the underlying data in each case.
3. Table codes of the relevant industry data table for each data series, where one exists are provided in the right hand column of this dashboard. All data tables are accessible via the industry data tables page of the UK Finance website at <https://www.ukfinance.org.uk/industry-data-tables>.
4. Dashboard is updated on a quarterly basis.
5. Monthly total values of lending may differ between category due to unclassified loans not being included.